

DONE DEAL: Narayanan meets US Secretary of State Condoleezza Rice in Washington



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fuel and equipment for the first time in 30 years to meet its burgeoning energy needs. "The deal will enhance India's global image," says Naresh Chandra, former Indian envoy to the US.

The officials, however, point out that it will also silence its critics at home as the 123 Agreement includes a clause that the deal will not impede the country's military nuclear programme. The agreement also spells out that reprocessing of spent fuel will be done under the IAEA safeguards. India, still stung by the Tarapur nuclear plant experience when the US had stalled fuel supplies to the reactor, has managed to wrench out an assurance of a lifetime fuel supply, which is unique since no such clause has ever appeared in any of the deals that the US has signed with other countries. However, in the event of cessation of cooperation by the US, the draft agreement still gives Washington the right to demand return of equipment, material

and fuel it has supplied. But the US has agreed to India's formulation that it should be balanced by a commitment to ensure it will leave the country free to arrange appropriate fuel supplies from other sources.

On the fallback safeguards, another

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- India gets fuel assurance for the US-supplied nuclear power plants, secures reprocessing rights for the spent fuel.
- US assures that the deal will not retard the country's strategic weapons programme.
- Actual nuclear commerce may take a year. India needs to negotiate a safeguards agreement with IAEA followed by the nod of the NSG and a yes vote in the US Congress.

key demand from the US side, the 123 Agreement says that if the IAEA determines that safeguards are no longer being adhered to, India and the US must agree on an appropriate verification mechanism though given the country's responsible nuclear record, officials say that such a situation is unlikely to arise. However, there's a concession that the Indian side had to make when they agreed that fuel cycle-related equipment can only be transferred after an amendment to the agreement and this is where India will have to convince the Nuclear Suppliers' Group (NSG) to allow it to source components for its safeguarded reprocessing activities from member countries.

But officials say that right through the negotiations, they were aware that this was their last shot at negotiating the 123 Agreement, both sides were conscious that so much political capital was invested in the deal, that it would have an impact on the relationship if the agreement fell. Above all was the strong pressure from the US business lobby given the fact that India is expected to spend billions of dollars in nuclear energy projects in the coming years.

However, there is still some distance to be travelled. While the country is now expected to negotiate an India-specific safeguards agreement with IAEA, the US would initiate the process of getting India the clearances from the NSG, comprising 44 countries, whose nod is necessary for any civilian nuclear commerce. Then it would have to go to the US Congress for a yes vote, which can only happen after a three-month period under the US laws.

But not all are happy with the 123 deal. "India is going to be saddled with the onerous conditions of the Hyde Act—from a test ban enforced through a US domestic law to an annual presidential certification of its continued good behaviour. All this hardly squares with the prime minister's assurances to the Parliament," says strategic analyst Brahma Chellaney. Even though the jury is out on the deal and US nuclear power plants will take some years to come, the bottom line is that the Indo-US nuclear agreement will enhance India's power quotient in the international arena. ■